

The Last Mile Logistics Audit

Are we failing specific regions, or is it nationwide?

Veridi Logistics | Olist data: 96,470 delivered orders

Not nationwide: 92% of orders arrive on time, but a few regions are failing badly

8.1%

of delivered orders arrive after the promised date (4.4% by more than 5 days)

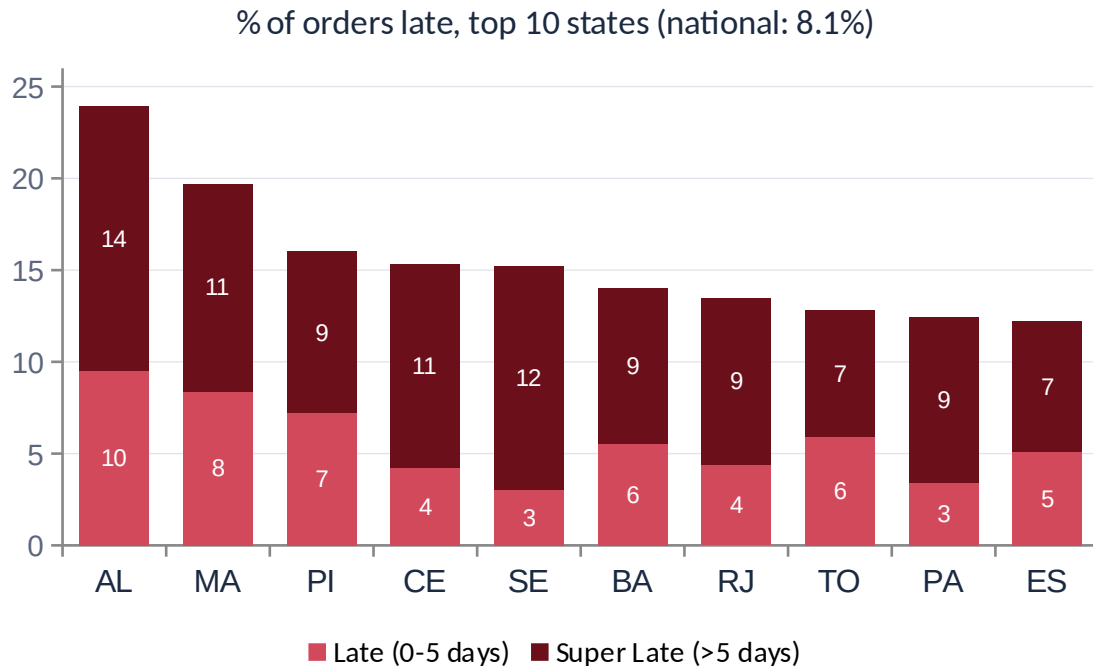
14.3% vs 7.5%

late rate in the Northeast vs the rest of Brazil

1.79 vs 4.29

average review score: Super Late orders vs On Time orders

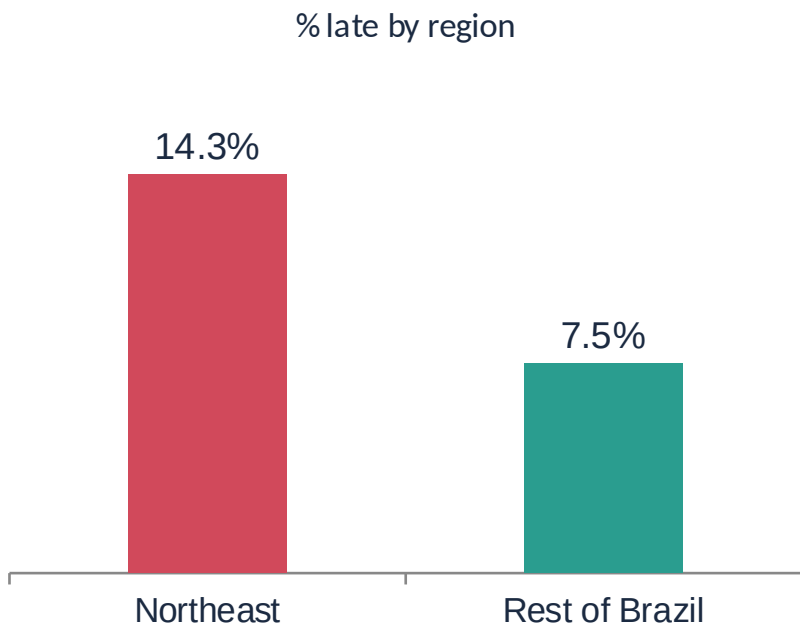
Alagoas, Maranhao and Piaui lead the failures; Rio de Janeiro is a surprise



Every top-10 state is well above the 8.1% national rate.

- Alagoas: 1 in 4 orders late.
- Rio (12,350 orders) is only 360 km from Sao Paulo yet 13.5% late: the biggest volume of unhappy customers.
- Sao Paulo, Minas Gerais and Parana are at 5-6%.

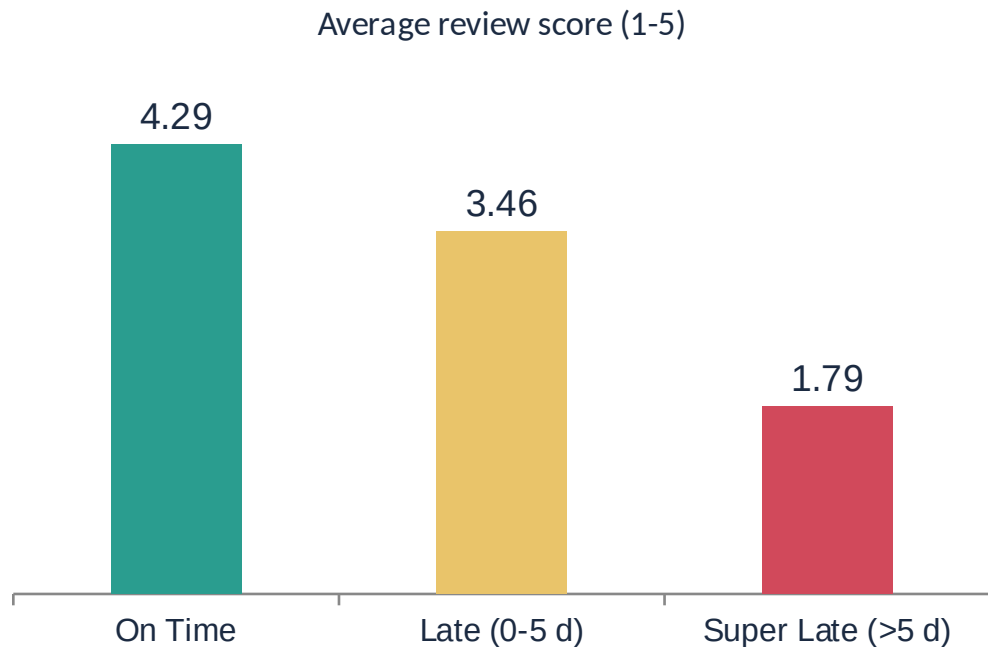
Remote regions are hit harder, but distance alone does not explain it



- Northeast customers are almost 2x as likely to receive late orders.
- Correlation of late % with distance from Sao Paulo is only $r = 0.15$: very remote Amazon states (AC, RO, AM) are actually below average, mostly on small volumes and generous estimates.
- The pattern follows the Northeast corridor and Rio, not raw distance.

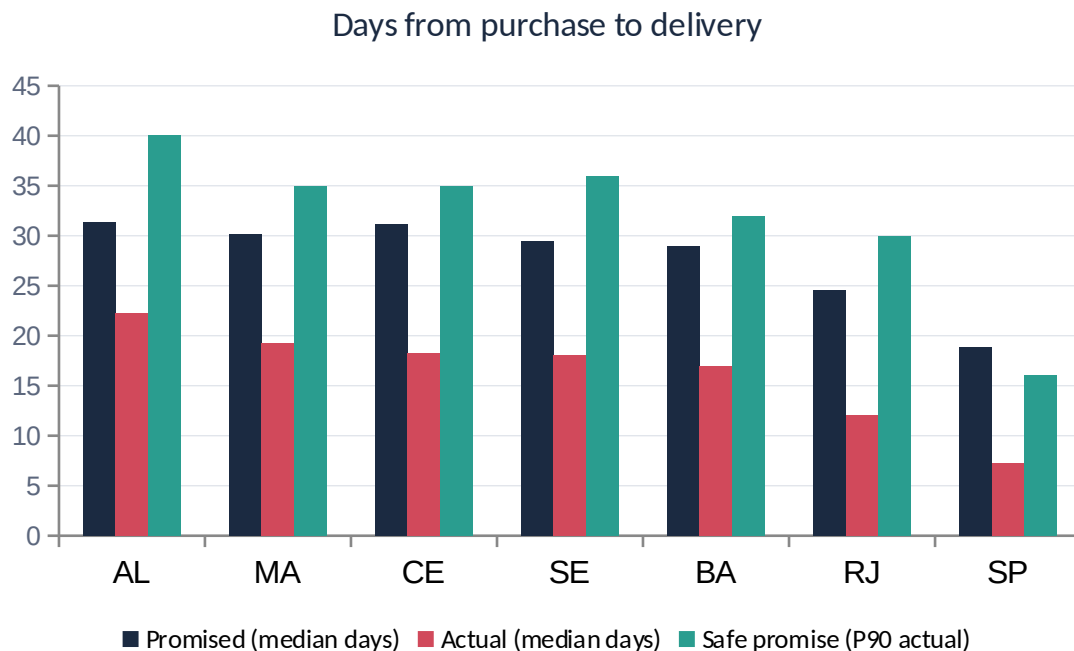
Distance measured from Sao Paulo to each state capital (assumed hub). Northeast = AL, BA, CE, MA, PB, PE, PI, RN, SE.

Late delivery is the review killer: a 2.5-point drop in satisfaction



- On Time: 4.29 (88,163 reviews)
- Late: 3.46 (3,568)
- Super Late: 1.79 (4,093)
- Each extra day late is associated with a lower score ($r = -0.27$).
- **Logistics is a direct driver of the negative-review spike, especially the >5-day group.**

The CEO's hunch is half right: estimates are too generous nationally but too tight in 13 states



- Nationally: median promise 23 days vs median actual 10 days.
- In AL, MA, CE, SE, BA and RJ the P90 actual time exceeds the promise.
- **Extending promises only in the 13 under-padded states cuts the late rate from 8.1% to 5.6% with zero change to operations.**

Recommendations

- 1 Recalibrate estimates by state**
Add padding in the 13 under-padded states (largest: AL +8.6 days, SE +6.5, RJ +5.4). Quick win, no ops change.
- 2 Fix the Northeast and Rio lanes**
Audit carriers and transit times for AL, MA, PI, CE, SE, BA and RJ; RJ has the most volume at stake.
- 3 Monitor Super Late orders**
Orders more than 5 days late score 1.79. Trigger proactive customer messaging before day 5.